

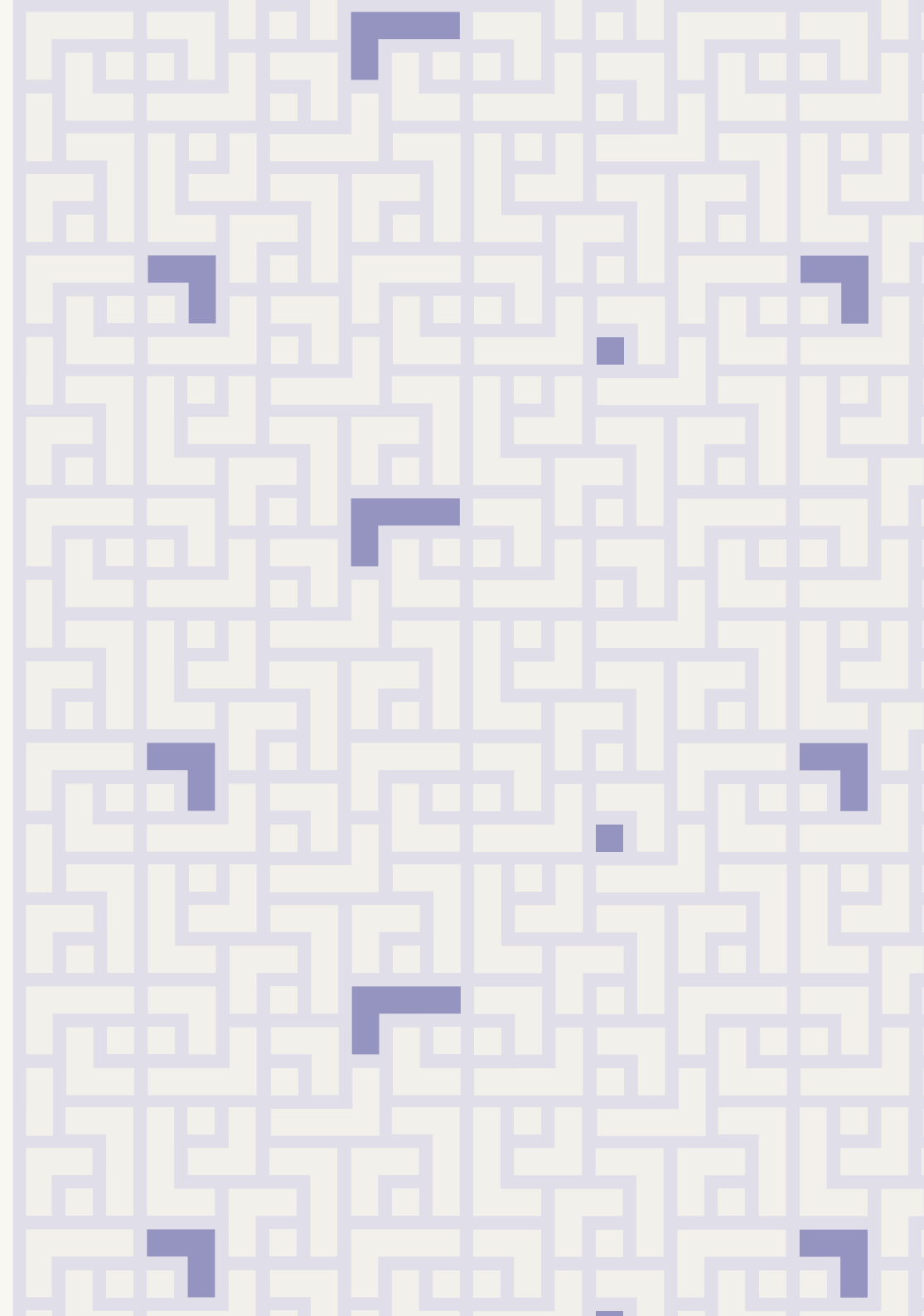
Exits in the UK

Acquisitions and IPOs
2011–2021



Contents

Foreword from Seb Wallace, Triple Point	1
Executive summary from Henry Whorwood, Beauhurst	2
Methodology	3
Chapter 1: Overview of exits	4
Exits over time and types of exit	5
Acquisitions	6
Trade versus financial sales	7
Initial Public Offerings (IPOs)	8
B2B versus B2C exits	9
B2B versus B2C: exit valuations	10
Exit case studies	11
Chapter 2: Trends in valuation	12
Valuation distribution	13
Average prices	14
Quartiles	15
Top acquisitions	16
Top IPOs	17
About the contributors	18





Seb Wallace, VC Investor at Triple Point

Welcome to the second edition of the Exits in the UK report from Beauhurst and Triple Point. In this report, we look back at the past decade and the exits achieved by high-growth UK companies.

The past decade has been a milestone decade for high-growth exits in the UK. During this time, UK and European start-up ecosystems have matured, attracting new and established venture capital investors seeking to support the ecosystem, and the promising startups within it.

Today, these investors fund businesses at a rate incomparable

to 10 years ago. As a result of this funding, more companies graduate to become attractive IPO candidates or acquisition targets. We are now seeing a significant increase in the number of successful exits, as these UK companies reach critical mass and sale, or IPO opportunities crystallise.

Against this backdrop, we've prepared this report to shine a light on the state of UK company exits. After all, only with a robust and attractive path to exit can founders and investors realise the value they have worked hard to build.

If the past 10 years were a milestone decade, 2021 was a milestone year. Rebounding from a difficult 2020, the total value of high-growth company exits last year increased to £26.7bn, a 5x increase on 2020, and a 2.4x increase on the 10-year average.

The success of 2021 has received wide press coverage, particularly with the record number of IPOs taking place. IPO volume was up 3x on the 10-year average, and featured IPOs from well-known businesses including Wise, Darktrace and Deliveroo.

Alongside these record-breaking numbers, 2021 continued trends

that have been established for some time. B2B company exits are consistently more numerous than B2C company exits, with 579 B2B companies successfully exiting in 2021 versus 294 B2C companies. This is something that has remained true since 2011, when our data began.

"Only with a robust and attractive path to exit can founders and investors realise the value they have worked hard to build."

Exit valuations follow a similar trend, although with some nuance. The mean exit valuation for B2B companies in 2021 was almost 3x than the B2C company average (£302m vs £119m), but the median was similar – and in fact slightly higher for B2C – at £51m versus £41m.

What this aggregated data hides is that B2C continues to be the realm of the material outlier, fitting comfortably within the venture capital "home run" narrative. B2B exits are more granular and, while there are many notable B2B exits, the overall B2B total is made up

of numerous smaller, strategic acquisitions.

Coming out of 2021, it is worth reminding ourselves about the paucity of private acquisition data. While IPO data is plentiful, many acquisitions are more secretive – particularly when the sale value is below £20m. Since 2011, 82% of acquisitions did not share deal data in the public domain. Our data collection and analysis adjusts for this, but it is still notable that so many exits have no data.

As 2022 progresses, the UK start up ecosystem has much to be optimistic about, but there are clouds on the horizon. Early stage startup funding continues apace, and the number of mature, highly valued, later stage companies continues to grow. However stock market turmoil and macro-economic challenges, such as inflation, represent obstacles that founders and their investors have to work hard to avoid. So far, the ecosystem has proved resilient – long may it continue.

Enjoy the report,

Seb Wallace



Henry Whorwood, Head of Research and Consultancy at Beauhurst

As the number of companies Beauhurst has tracked has increased since we started in 2010, we naturally expected the number of exits to continue to grow. We did not expect, however, the impact that the pandemic would have on the number of exits in 2020, nor the rapid recovery that would take place in 2021.

Exits are important to the UK's high-growth economy for three main

reasons: the liquidity they provide to early investors providing them with capital back (and hopefully a gain) which can be re-invested into earlier stage startups; the release of the founders to start or back new ventures (though this doesn't happen in every deal); and the platform for further expansion that an exit often provides.

UK businesses are often criticised for exiting too early (particularly to foreign acquirers). But exits at any stage create opportunities: the wealth they can create often gets recycled back into startups and scaleups; acquirers can elevate the commercialisation prospects of IP; the investment that comes with an acquisition or IPO creates jobs. It's one thing to lament the lack of tech behemoths in the UK; it's another to castigate founders and CEOs for pursuing exits.

This report explores the UK exits that have taken place since 2011. Hopefully this report will prove both inspiring and useful to entrepreneurs and investors thinking about transactions of this sort.

Record highs:

781

The number of high-growth companies that exited in 2021.

£26.7b

The known value of exits completed in 2021.

732

The number of acquisitions of high-growth companies in 2021, of which 635 were to corporate acquirers.

49

The number of high-growth companies that held IPOs in 2021, up 308% on the year previously.

£364m

The average price of acquired companies in 2021.

Methodology

Acquisitions

An acquisition occurs when a company sells a majority (>50%) of its existing shares to another company or a fund.

Initial public offerings (IPOs)

An initial public offering occurs when the shares of a private company are first listed on a stock exchange.

Industry acquisitions/trade sale

A trade sale occurs when a company's shares are acquired by another company. Acquirers often seek to make use of an acquired company's intellectual property, claim their market share, or to use the acquisition in a new market altogether. Trade sales make up the majority of acquisitions of high-growth companies in the UK.

Fund acquisition/financial sale

Financial sales occur when the majority of a company's shares are bought by a fund, usually private

equity funds. Financial sales do occur in the high-growth space, but private equity firms tend to purchase later-stage, established companies that are delivering consistent profit.

Business-to-business (B2B) companies

B2B companies are companies that sell to other businesses. 'Businesses' refers to incorporated businesses (such as limited companies) as well as unincorporated businesses (such as partnerships or sole traders). A business can be a for-profit or a not-for-profit enterprise.

Business-to-consumer (B2C) companies

B2C companies sell to consumers. 'Consumers' refers to individuals who are engaging with a company on a personal basis, not in their capacity as employees or directors of a company or another entity. Companies can be both B2B and B2C.

Beauhurst identifies ambitious businesses using eight triggers (outlined at the bottom of this page) that we believe suggests a company has high-growth potential. More detail on Beauhurst's tracking triggers is available via [our website](#).

Equity investment

To be included in our analysis, any investment must be:

- Some form of equity investment
- Secured by a non-listed UK company
- Issued between 1 January 2011 and 31 December 2021

Announced and unannounced fundraisings

An unannounced fundraising is an investment made into a private company that is completed without press coverage or a statement from the recipient company or funds that made the investment. These transactions are an integral part of the UK's high-growth economy, accounting for around 70% of all equity transactions.

High-growth tracking triggers



Equity investment



Academic spinouts



Scaleups



High-growth lists



Accelerator attendances



Major grant recipients



MBOs/MBIs

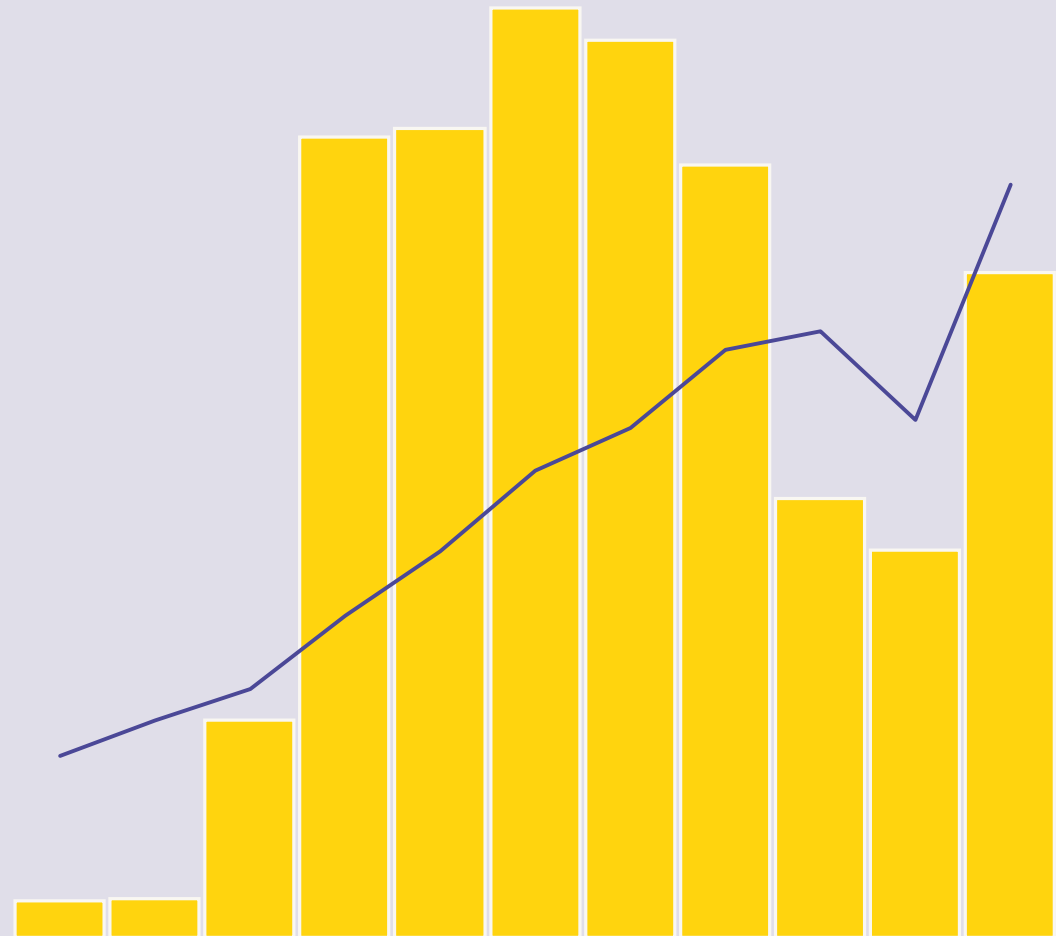


Venture debt

1

Overview of exits

- Exits over time and types of exit
- Acquisitions
- Trade versus financial sales
- Initial Public Offerings (IPOs)
- B2B versus B2C exits and valuations



Exits over time and types of exit

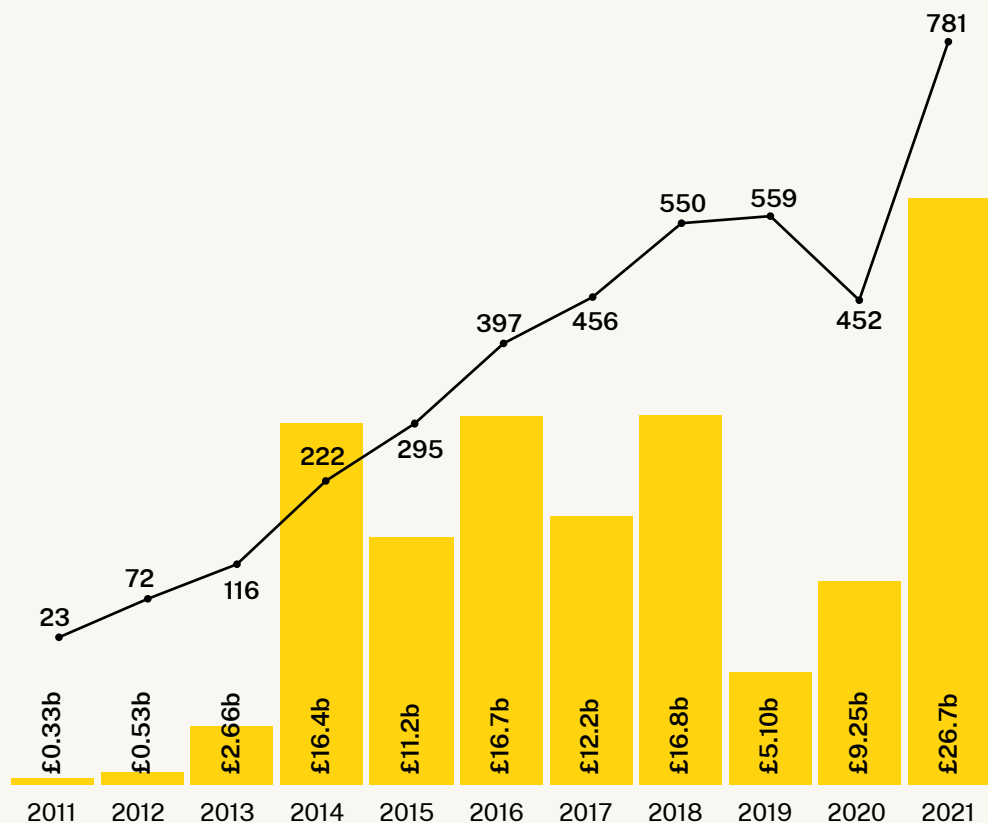
Between 2011 and 2021 there was a significant increase in both the number and value of exits completed by UK high-growth companies. The compound annual growth rate for the combined value of exits was 55.2% across these 10 years, reflecting the health of the UK's high-growth economy. Unsurprisingly,

exit figures experienced some turbulence during 2019 and 2020 — caused by the COVID-19 pandemic and ongoing economic uncertainties due to the UK's departure from the European Union. Despite the total value of exits plummeting by 70% to £5.1b in 2019, marking a five-year low, the total value

rebounded by the end of 2021 — increasing by 423% to £26.7b. As detailed on the following pages, both acquisitions and IPOs saw a dramatic uptick in 2021.

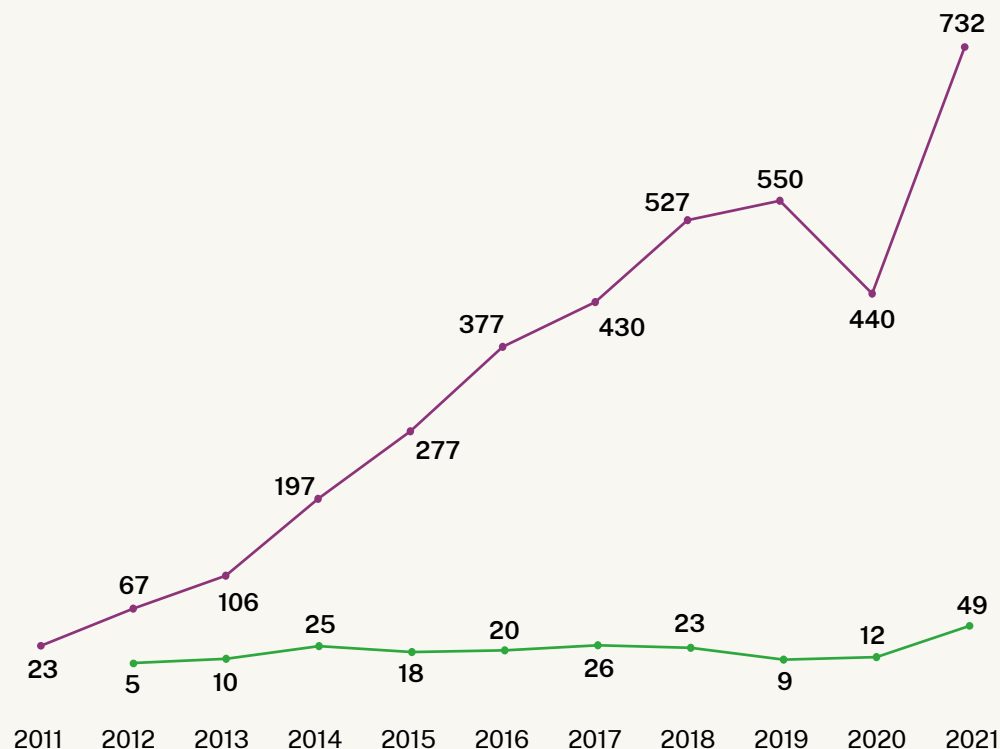
Number and total value of exits by high-growth companies (2011-2021)

● Value of exits ● Number of exits



Acquisitions and IPOs by high-growth companies (2011-2021)

● Acquisition ● IPO

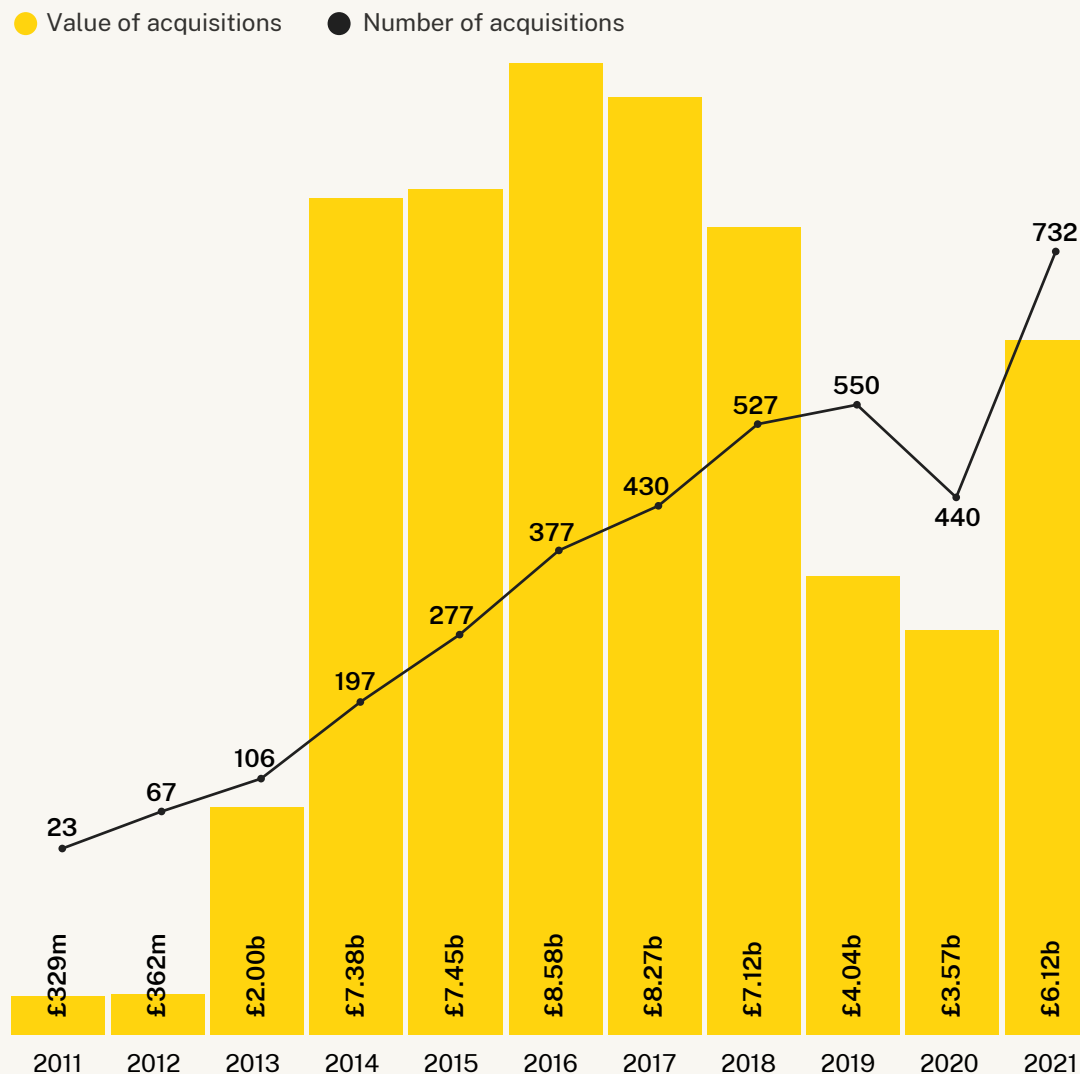


Acquisitions

A total of 3,725 high-growth businesses exited via acquisition between 2011 and 2021, making it the dominant exit strategy for these UK companies. With the exception of 2020, a year where lockdowns impacted deal-making at all ticket sizes, there has been a clear positive trend in the number of companies acquired — rising from 23 in 2011 to 732 in 2021. This trend is less notable when observing the value of acquisitions, which has varied considerably.

The cause of these fluctuations is partially due to the limited valuation data available for the majority of deals. For 82% of acquisitions, no deal data is available in the public domain. Moreover, the data can also become skewed by when large, announced acquisitions do appear, as they contribute significantly towards annual totals. For example, when Skyscanner was acquired by Ctrip International for £1.4b in 2016, this accounted for 18% of the total acquisition value that year. Looking at recent trends, data for 2021 points towards a promising future. The total quantity of deals increased by 66.4% from 440 in 2020 to 732 in 2021 as the UK economy began to open up.

Number and total value of acquisitions of high-growth companies (2011-2021)



£55.3b

total value of acquisitions of high-growth companies (2011-2021)

£14.7m

mean value of acquisitions of high-growth companies (2011-2021)

1,810

acquired companies that secured equity investment prior to exit (2011-2021)

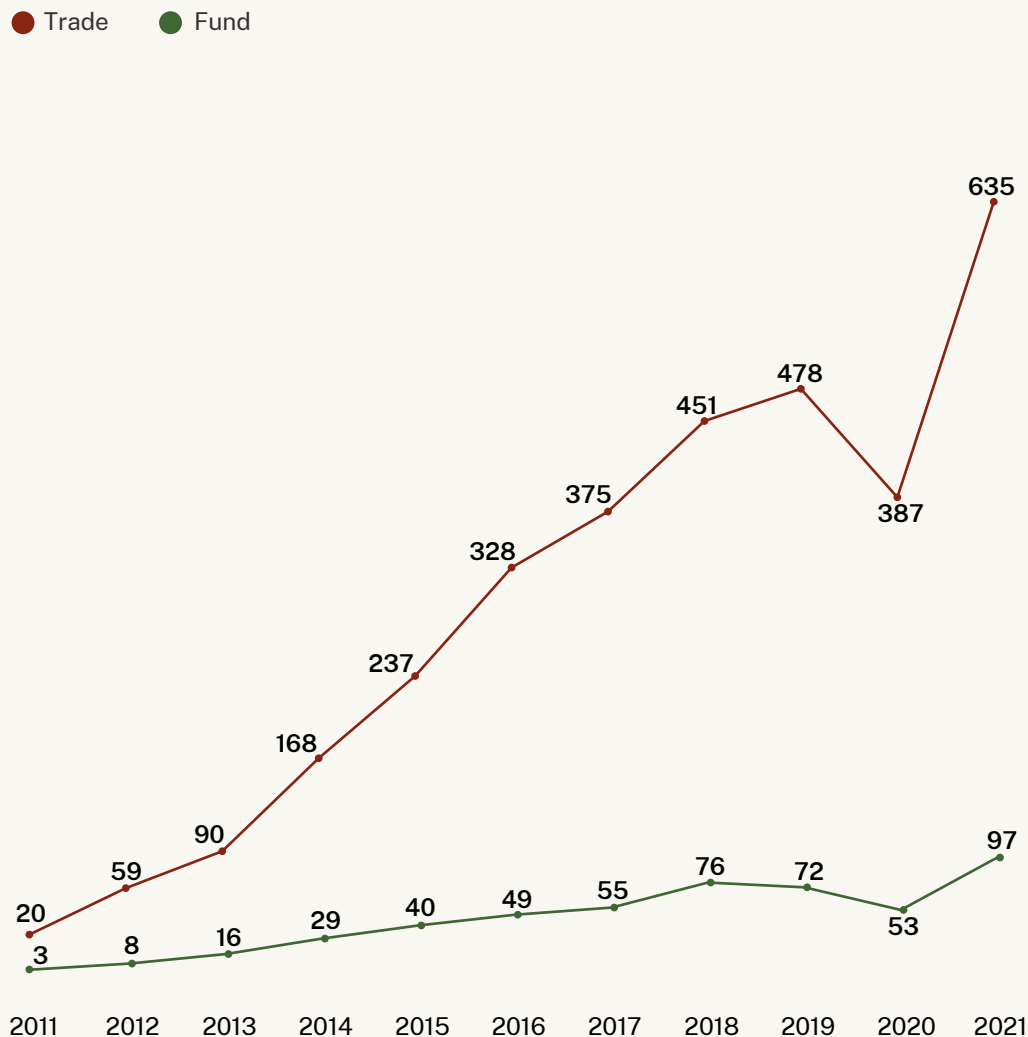
Trade versus financial sales

For both trade and financial sales, growth trends mimic those of the broader acquisition category. Both trade and fund sales became steadily more numerous during the 10-year period, and neither escaped a dip in popularity during 2020. Since 2011, the ratio between these two forms of acquisition has remained relatively stable, with trade sales representing 85-90% of transactions.

An acquisition falls into the category of a trade sale where the company acquired is purchased by another company. This exit strategy is popular when the acquiring company hopes to use the intellectual property of the acquired company, or claim their market share. An example of a trade sale with the latter purpose is the acquisition of online on-demand supermarket delivery service Weezy by competitor Getir in November 2021.

Fund sales, on the other hand, are led by funds that acquire companies at a later, more established stage. These buyers are often looking to increase a company's revenue or profits through a change in management and/or strategy, with a view to subsequently exiting the company again via another acquisition or IPO. One example of this is the 2013 acquisition of Dr Martens by the fund Permira Credit Solutions, a transaction that was followed by an IPO in January 2021.

Number of trade and fund acquisitions of high-growth companies (2011-2021)



3,228

total number of acquisitions of high-growth companies by trade (2011-2021)

498

total number of acquisitions of high-growth companies by fund (2011-2021)

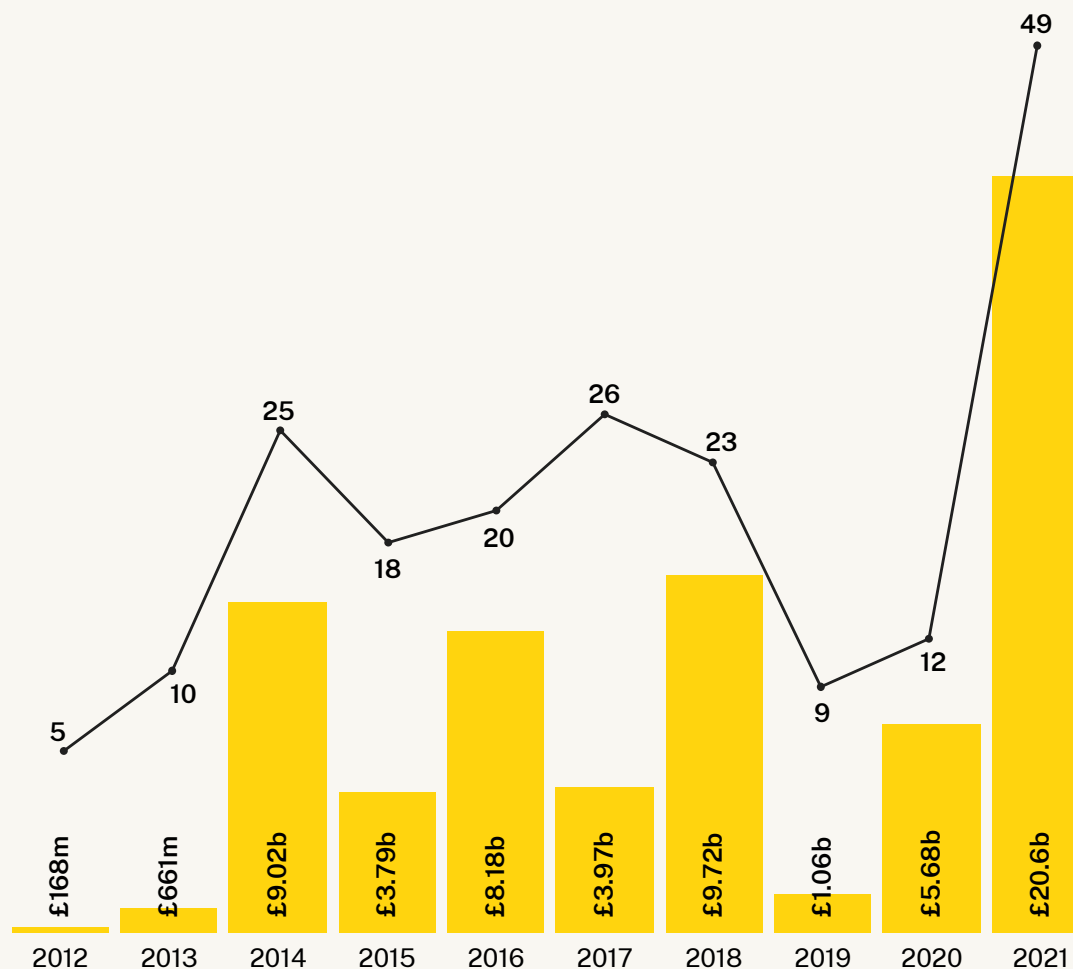
IPOs

For exits completed by UK high-growth companies, listing is less popular than undergoing an acquisition — only 10.1% of exits in 2021 were IPOs. However, the number of businesses listing has increased by a compound annual growth rate of 25% between 2012 and 2021. Similar to acquisitions, the total value of companies undertaking an IPO fluctuates when those companies that list in a given year secure very large market capitalisations. This is best evidenced by the IPO of medical instrument provider Convatec in 2016. The company listed at a valuation of £4.4b, making up 55% of the total figure for high-growth companies undertaking an IPO in that year.

In parallel to the broader economic instability of 2019 and 2020, both the number and value of IPOs decreased significantly as a result of pandemic-related insecurities. But both figures rebounded and then grew in 2021 when a record number of high-growth companies (49) floated, securing a combined market capitalisation of £20.6b, reflecting not a recovery in financial markets but also increased appetites for listing. The companies that undertook an IPO in 2021 included life sciences businesses Exscientia and Immunocore, valued at £4.8b and £1.7b respectively.

Number and total value of IPOs completed by high-growth companies (2012-2021)

● Value of IPOs ● Number of IPOs



£319m

average value of IPOs completed by high-growth companies (2012-2021)

880%

increase in the number of high-growth companies that have undergone an IPO (2012-2021)

1,810

companies that exited via IPO that secured equity investment prior to exit (2012-2021)

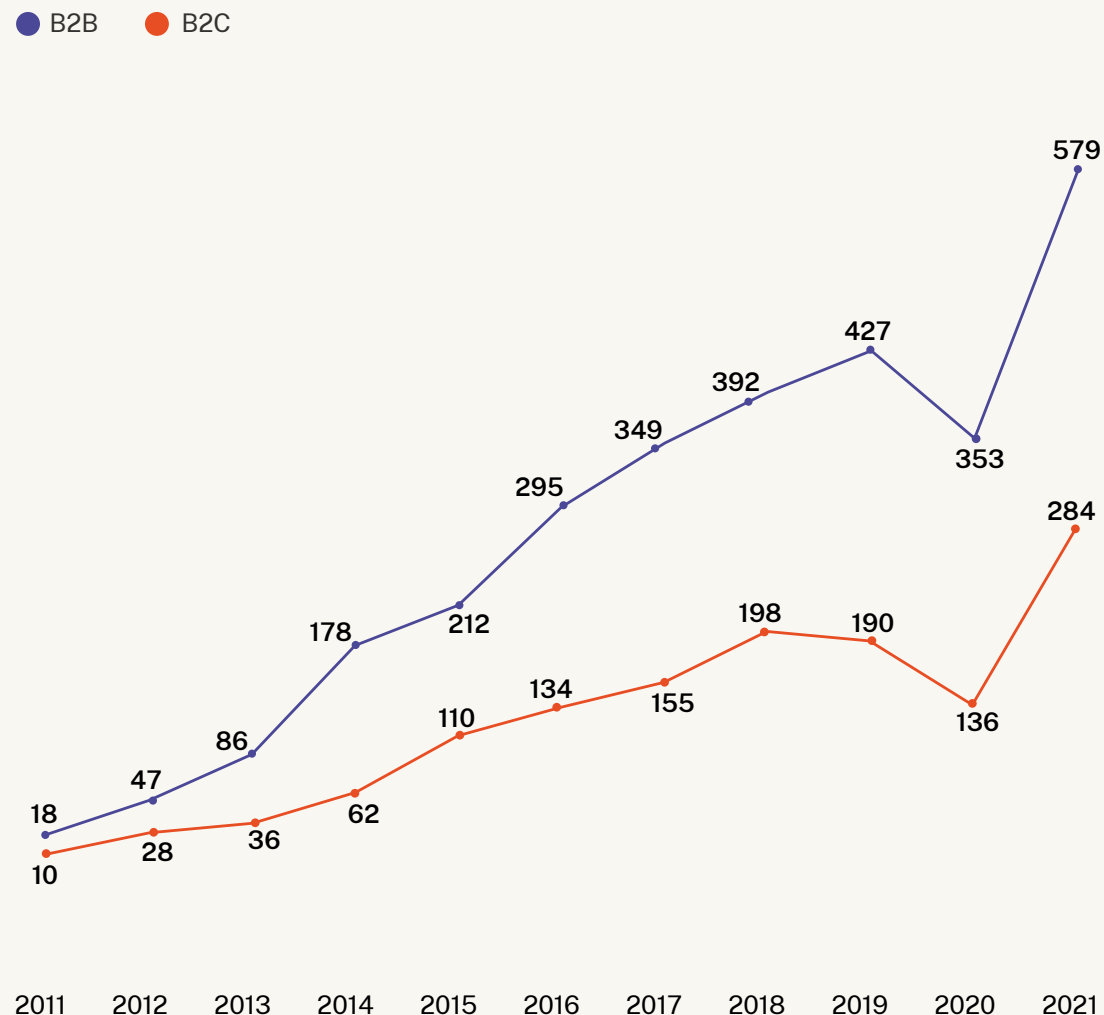
B2B versus B2C exits

For high-growth company exits between 2011 and 2021, the number of B2B businesses that participated in either an acquisition or IPO is more than double that of B2C companies. Although in 2011 the number of exits in both categories was below 20, by 2021, the number of B2B exits had climbed to 579 while the count of B2C exits stood at 284.

Exits by companies targeting other businesses increased by over 30 times in the last decade, with 12 of these deals valued at over £1b. One of the largest deals in this category was secured by Markit, a financial data provider, when it underwent an IPO in June 2014 with a market capitalisation of £2.53b. Another highly valued B2B exit took place in 2018, when FNZ — a developer of wealth management and investment platforms, was acquired by CDPQ-Generation Partnership for £1.65b.

The number of exits by companies focused on consumers experienced more modest growth in the same period. This is most likely the result of a larger proportion of the high-growth population working with a B2B model. Among high-growth companies, 66.3% are categorised as B2B, whilst only 45.3% of businesses have a B2C focus.

Number of exits by B2B and B2C high-growth companies (2011-2021)



2,936

exits by B2B high-growth companies (2011-2021)

1,343

exits by B2C high-growth companies (2011-2021)

B2B versus B2C: exit valuations

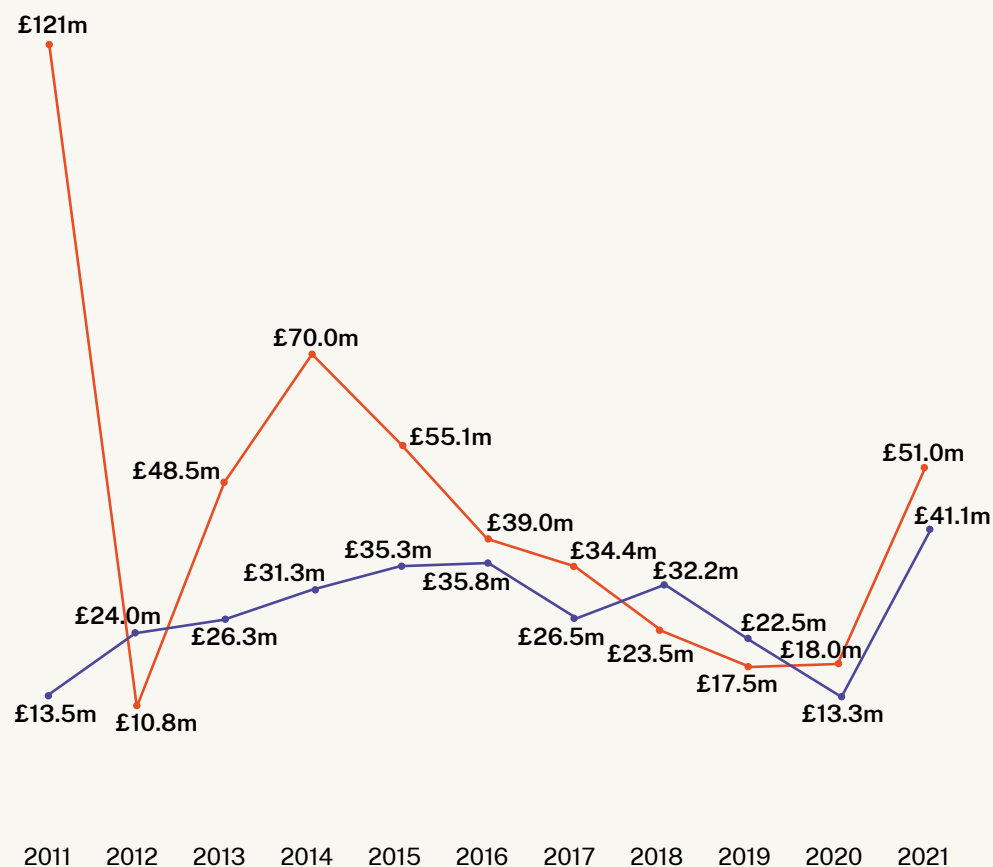
Although mean valuations for both business models fluctuate to a certain extent, the average value of B2C exits has varied significantly over the last decade. In 2012 this figure was lowest when the mean exit valuation for B2C companies was a mere £19.6m. Just two years later, this number peaked at £311m.

These changes are more evident for B2C businesses than B2B companies, because the B2C industry is more competitive, and only a few companies capture the market share. When one of these successful businesses exits, it causes the average in that year to become inflated. The difference between the median

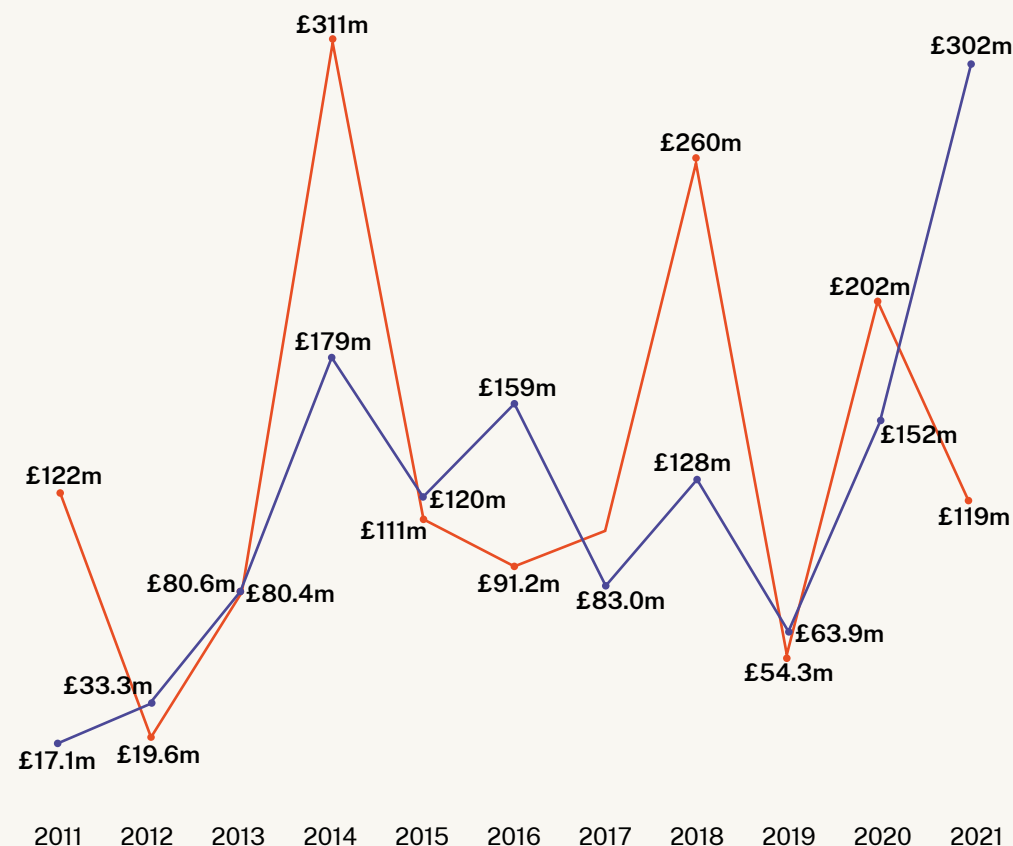
valuations for B2B and B2C companies shows this. For companies working with a B2B model, the median valuation has remained relatively constant, as more companies share the market. In comparison, when looking at B2C companies there is a greater degree of change in the average valuation received each year.

Median valuations of exits by B2B and B2C high-growth companies (2011-2021)

● B2B ● B2C



Mean valuations of exits by B2B and B2C high-growth companies (2011-2021)



Exit case studies

These companies exited from the high-growth ecosystem of the UK between 2021 and 2022. Each nation in the UK is represented, along with both exit types: IPO and acquisition. These companies span a range of sectors, showcasing the variety of high-value businesses exiting in the UK. Exscientia and

TC BioPharm are both companies working within the life sciences industry, whereas Repstor works in data management and Vortex IoT develops a product for the risk management sector. Each of these businesses benefited from equity investment prior to exit, showcasing the power of funding as a tool

for maximising growth in private companies. Notably, the leaders and backers of the more capital-intensive life sciences companies opted to pursue IPOs rather than acquisitions. Public markets perform an important role in providing ongoing financing for capital intensive and speculative undertakings like drug discovery.

Exscientia



Date of exit
Type of exit

01/10/2021
IPO

University of Dundee spinout Exscientia secured £300m of equity investment across seven fundraising rounds prior to floating in October 2021. The business develops an artificial intelligence drug discovery platform that designs and tests millions of small molecule drugs to understand which of these will make successful drugs.

TC BioPharm



Date of exit
Type of exit

11/02/2022
IPO

Prior to floating in February 2022, TC BioPharm raised £22.2m of equity investment and £11.7m of grant funding, in support of their development of pharmaceuticals to combat cancer. The company aims to create safe, cost-effective cell therapies, with their leading product — OmniImmune — in late-stage clinical trials for the treatment of blood cancer.

Repstor



Date of exit
Type of exit

23/06/2021
Acquisition

Launched in February 2012, Repstor developed a software assisting public and private organisations to gather, manage and archive press-related documentation. Prior to its acquisition in 2021, the company secured £564k of equity investment across four fundraising rounds.

Vortex IoT



Date of exit
Type of exit

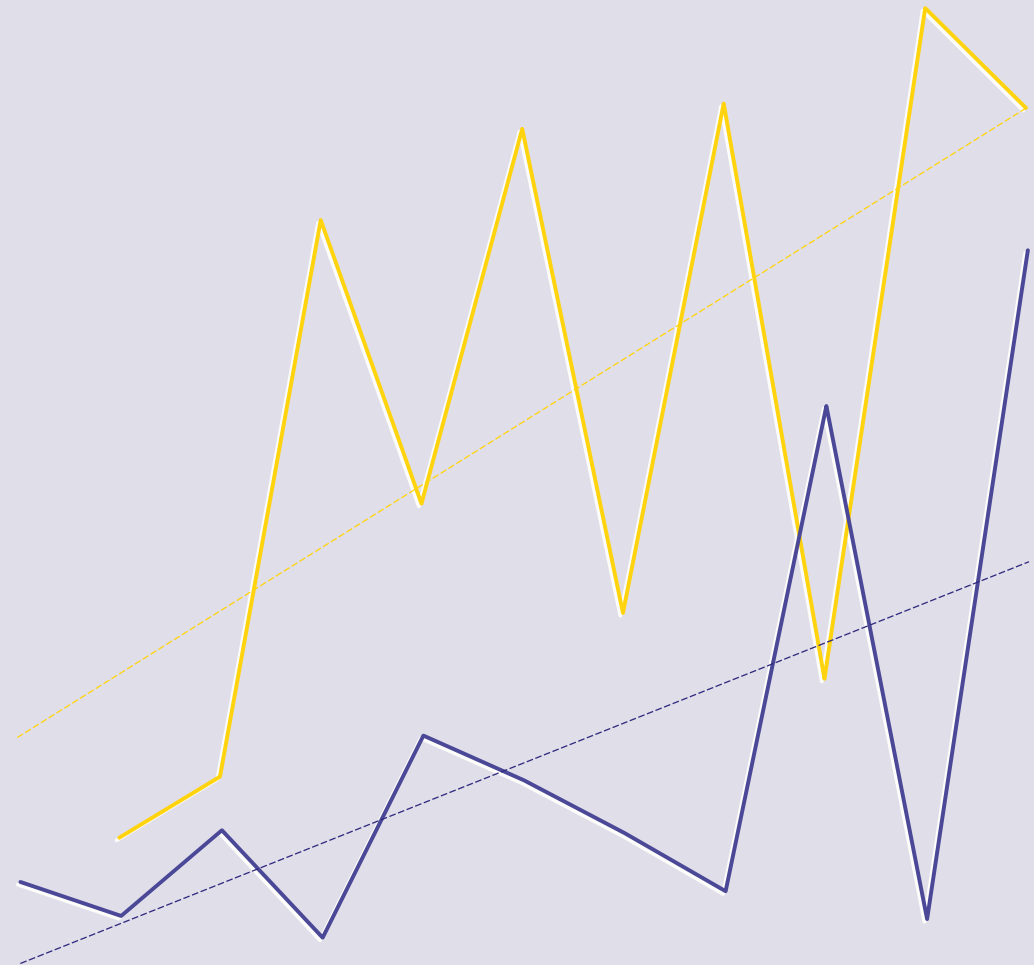
18/01/2022
Acquisition

Vortex IoT designs wireless sensor networks that are used in harsh environments to collect data which can be monitored remotely and assessed for risk. Targeting both the heavy industry and infrastructure sectors, the company has secured £2.26m of equity investment and £1.56m of grant funding.

2

Trends in valuation

- Valuation distribution
- Average prices
- Quartiles
- Top acquisitions
- Top IPOs



Valuation distribution

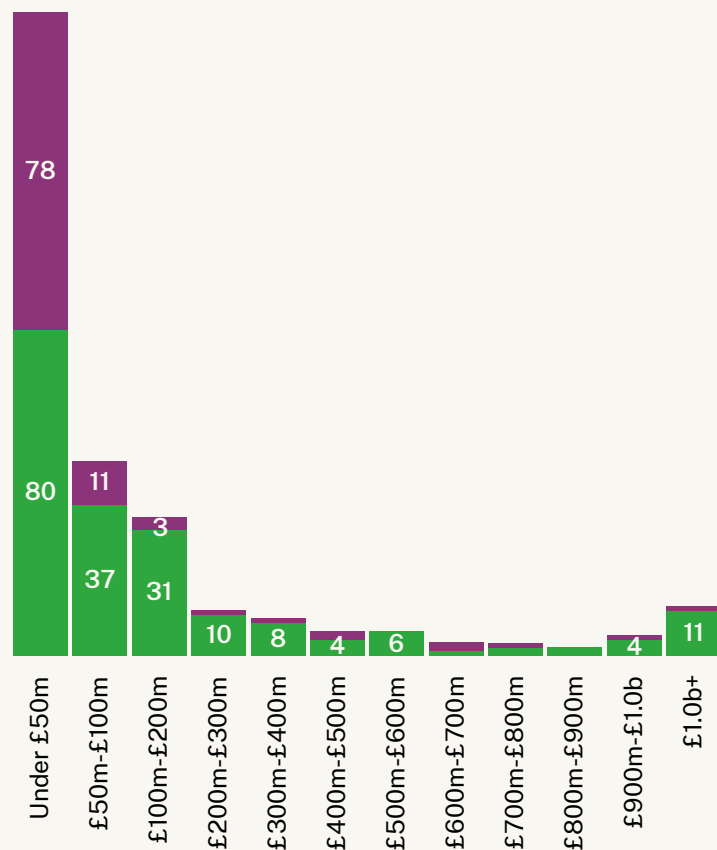
For the 855 exits by high-growth companies which have valuation data available, 18.5 % of these businesses were valued below £50m whilst 8.19% of companies exited with a valuation below £10m. Both of these brackets were populated with essentially an even number of IPOs and acquisitions — although

it should be noted that there is proportionally more data available for IPOs than acquisitions. The valuation brackets for exits worth more than £500m are almost exclusively occupied by IPOs (83%), with 11 businesses securing a market capitalisation above £1b. The purchase of professional service provider Turner &

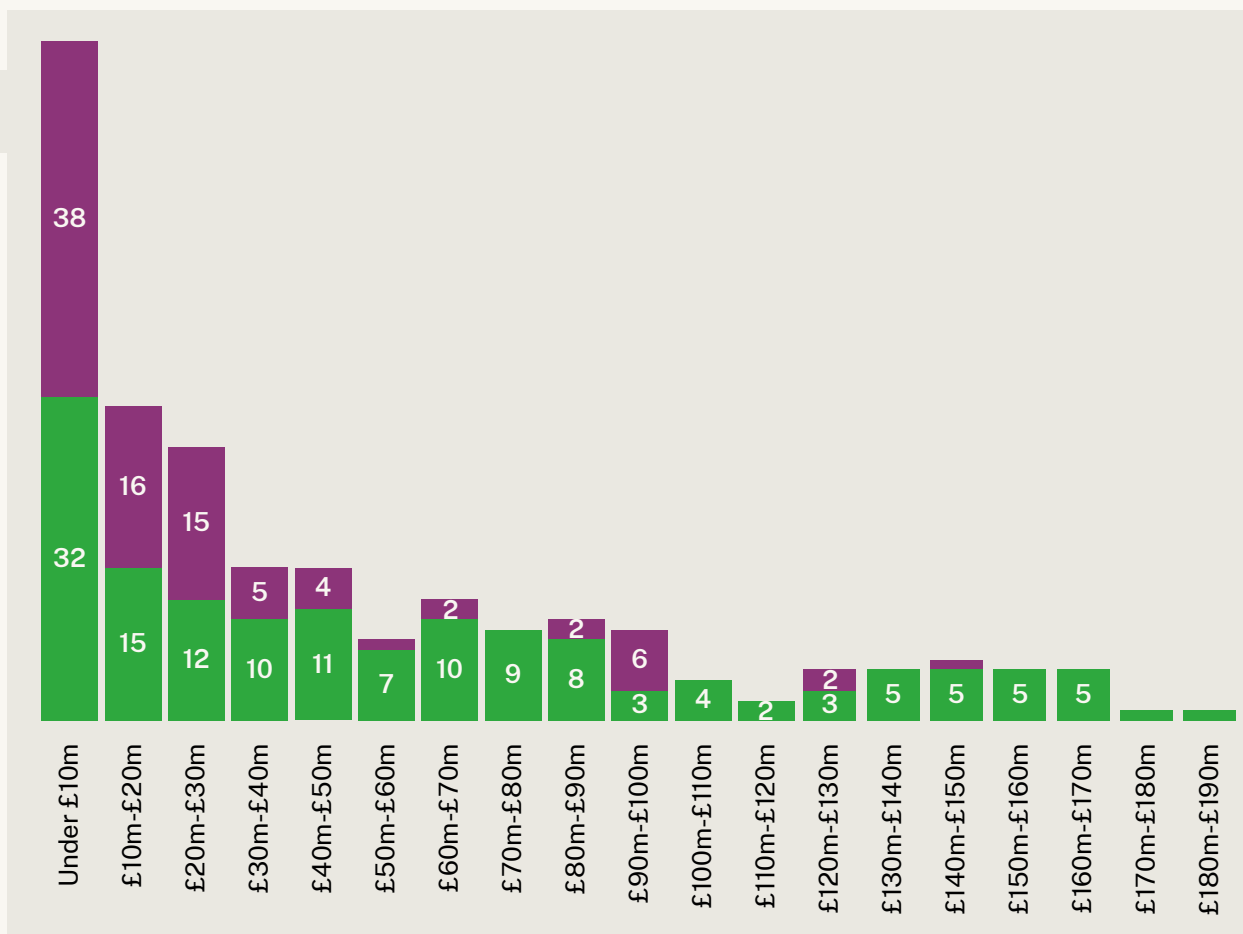
Townsend by the American firm CBRE in November 2021 was the only acquisition with a valuation above £1b.

Number of exits by valuation bracket (2011-2020)

● IPO ● Acquisition



Number of exits by valuation bracket <£200m (2011-2021)



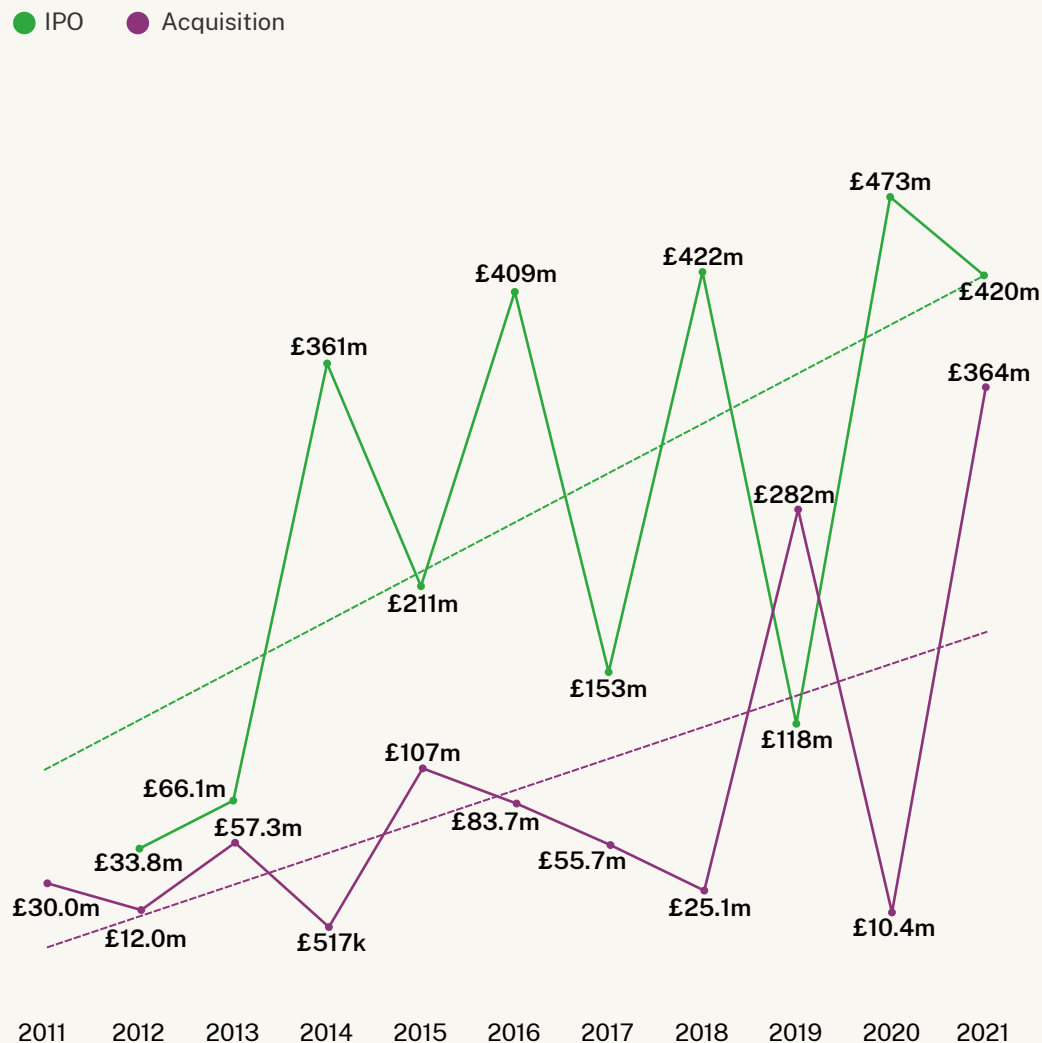
Average prices

Since 2011, mean exit valuations for high-growth companies undertaking an IPO have been volatile. These figures have the capacity to fluctuate by over 100% each year, mostly caused by individual high-value exits that inflate annual statistics. Despite this turbulence, there has been an overall growth in the average value of IPOs during this 10-year period, caused by an unprecedented amount of capital available to private companies prior to going public.

At the beginning of the same decade, exit valuations for acquired companies had less annual variation and a more modest growth trajectory. However, over the past three years, this figure has experienced a similar degree of turbulence as that observed for IPOs — most likely influenced by macroeconomic factors such as Brexit and the COVID-19 pandemic, including the associated economic stimulus.

This turbulence has also been accompanied by a significant increase in the mean exit valuation for acquisitions. Prior to 2018, this number peaked at £107m in 2015, as acquisition values remained distinctly lower than those achieved by companies that underwent an IPO. However, in 2019 the mean valuation for companies that were acquired shot to £282m, and subsequently peaked in 2021 at £364m.

Mean exit valuations for high-growth companies (2011-2021)



32.3%

CAGR of mean IPO exit valuations for high-growth companies (2012 - 2021)

28.4%

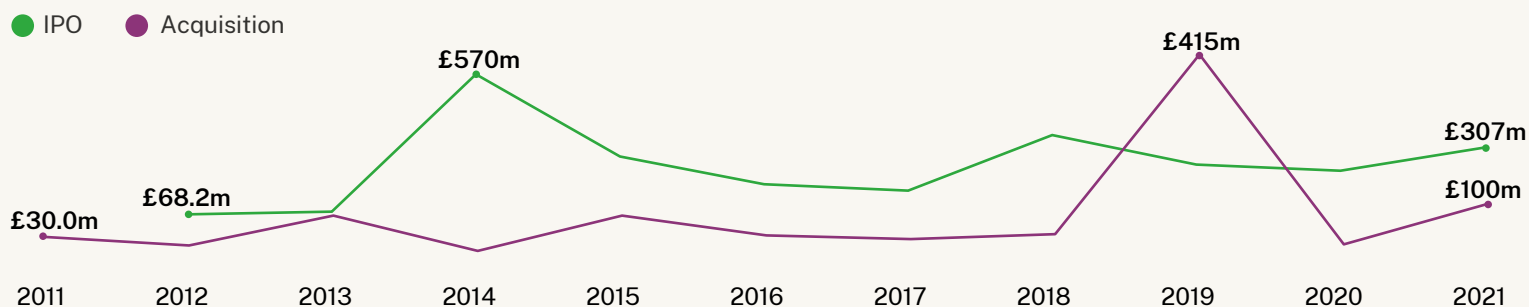
CAGR of mean acquisition exit valuations for high-growth companies (2011 - 2021)

Quartiles

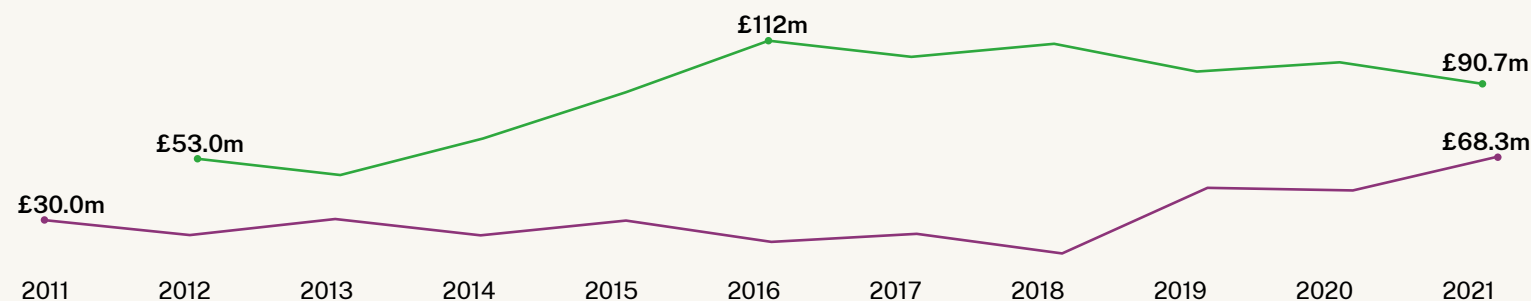
The relative stability of the upper quartile of exit valuations for businesses that have undergone an IPO, in comparison to the same mean exit valuations, showcases the impact of a handful of market capitalisations. With the exception of a peak in 2014, the upper quartile of IPO exit valuations have remained constant, with the exclusion of very large deals pointing towards an underlying consistency in these valuations. A similar conclusion can be drawn when analysing the lower quartile of IPO exit valuations, which have displayed the same consistency across the 10-year period.

The quartile data for acquisitions has evidenced a degree of consistency between 2011 and 2021, which is largely to be expected as the mean exit valuations for these companies have, for the most part, avoided dramatic fluctuations. Nevertheless, it is interesting to note the differences between 2019 and 2021. As noted previously, the mean exit valuations increased dramatically in 2019, an experience that carried across the range of valuation quartiles. A similar peak in mean exit valuations occurred in 2021, however, this did not follow through into the various quartiles. This data suggests that in 2019 the increase in mean valuations took place as a result of a large volume of higher-value transactions, whereas in 2021, the growth was caused by a few high-value acquisitions.

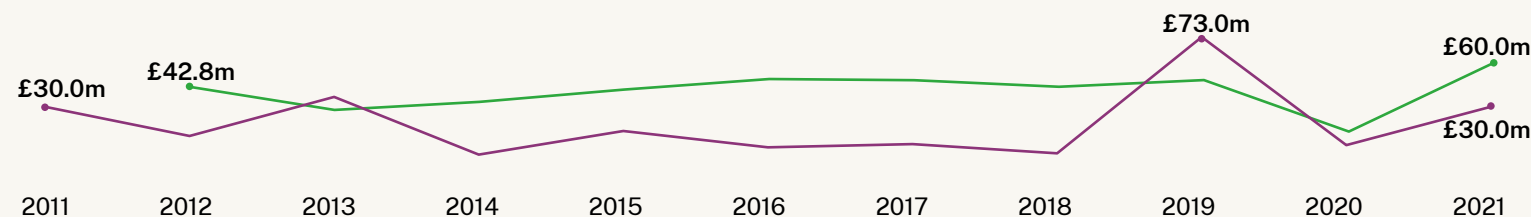
Upper quartile of exit valuations for high-growth companies (2011-2021)



Median average of exit valuations for high-growth companies (2011-2021)



Lower quartile of exit valuations for high-growth companies (2011-2021)



Top acquisitions

Among the 3,730 high-growth companies that have been acquired since 2011, a number of valuable transactions were secured: 22 companies were acquired at a price above £500m, with seven of these businesses being purchased for over £1b. The largest of these was for Yorkshire-based Firth Rixson, which was acquired by the American firm Alcoa in 2014, for the purpose of expanding its market leadership. Urbanest, a provider of university accommodation, underwent the second most valuable acquisition amongst high-growth businesses in 2020, when the company was purchased by Scape Group for £1.75b.

The businesses acquired for over £1b operate within a range of sectors, spanning across human resources, marketing, and data aggregation. Synergy, a high-growth company that was acquired for £1.24b by McCann Worldgroup in 2020, provides services to businesses centred around increasing employee engagement.

Moreover, despite the London-centric nature of the UK's broader high-growth ecosystem, only two of these seven businesses were headquartered in the capital at the time of their exit: FNZ and Urbanest. Two were headquartered in each of the regions of the South East and Yorkshire and the Humberside, whilst SkyScanner was Scotland-based.

Largest acquisitions among high-growth companies (2011-2021)

Firth Rixson	£1.82b
Urbanest	£1.75b
FNZ	£1.68b
SkyScanner	£1.40b
Synergy	£1.24b
We Buy Any Car	£1.20b
Callcredit	£1.00b
Argus Media	£967m
Turner & Townsend	£960m
Bond Aviation Group	£920m
Chiltern	£909m
Kymab	£800m
Matches Fashion	£768m
Sauflon Pharmaceuticals	£700m
PA Consulting Group	£660m
Miller Homes	£655m
Ziyo	£623m
Advanz Pharma	£598m
WorldFirst	£545m
Gallagher Estates	£505m

3,730

total number of UK high-growth companies acquired (2011-2021)

22

UK high-growth companies acquired for over £500m (2011-2021)

Top IPOs

UK high-growth companies that IPO tend to achieve far higher valuations at exit than those received by acquired companies. Many of the top companies by value floating on public markets had market capitalisations several times higher than acquired counterparts. The IPO undertaken by Wise, the largest of any high-growth company in the UK, received a market capitalisation of £7.69b — four times more than the most valuable acquisition.

Following Wise in the ranking, e-commerce specialists The Hut Group and FarFetch floated at £4.85b and £4.44b respectively. Prior to listing, both companies secured equity funding to support the projects such as international expansion and brand development. Across 12 funding rounds, the Hut Group benefited from £476m of equity investment. Similarly, FarFetch received £516m of equity funding across nine rounds.

Another sector represented widely in the ranking is life sciences. Working in this sector is Oxford Nanopore Technologies, a company widely known for its production of rapid COVID-19 tests and DNA sequencing devices, which underwent an IPO with a market capitalisation of £3.38b. Other life sciences firms securing large market capitalisations include Convatec (£4.39b) and Exscientia (£2.37b).

Largest IPOs among high-growth companies (2012-2021)

Wise	£7.96b
The Hut Group	£4.85b
FarFetch	£4.44b
Convatec	£4.39b
Oxford Nanopore Technologies	£3.38b
Markit	£2.52b
Exscientia	£2.37b
Metro Bank	£1.61b
Funding Circle	£1.50b
Just Eat	£1.47b
ao.com	£1.20b
Alfa	£975m
McCarthy & Stone	£967m
Orchard Therapeutics	£950m
ZPG	£919m
Victorian Plumbing	£850m
Immunocore	£806m
MADE	£775m
Adaptimmune	£772m
AJ Bell	£651m

197

total number of UK high-growth companies that have undergone an IPO (2012-2021)

27

number of UK high-growth company IPO's with a valuation above £500m (2012-2021)

About the contributors

Beauhurst

Contact

4th Floor, Brixton House
2 Somerleyton Road
London
SW9 8ND

www.beauhurst.com
+44 (0)20 7062 0060
consultancy@beauhurst.com

Beauhurst is a searchable database of the UK's high-growth companies.

Our platform is trusted by thousands of business professionals to help them find, research and monitor the most ambitious businesses in the UK. We collect data on every company that meets our unique criteria of high-growth; from equity-backed startups to accelerator attendees, academic spinouts and fast-growing scaleups.

Our data is also used by journalists and researchers who seek to understand the high-growth economy, and powering studies by major organisations — including the British Business Bank, HM Treasury and Innovate UK — to help them develop effective policy.

For more information and a free demonstration, visit beauhurst.com



TriplePoint

Contact

1 King William St
London
EC4N 7AF

www.triplepoint.co.uk
+44 (0)20 7201 89 89
contact@triplepoint.co.uk

Triple Point is an alternative investment manager and venture capital fund that has been investing in early stage businesses for over 15 years.

Triple Point's equity investments typically range from £300,000 at seed stage to £1.5m at Series A, with a focus on B2B technology companies or socially impactful B2B/B2C businesses. Overall, Triple Point has £1.5bn assets under management.

If you are looking to raise funding for your early stage business, visit triplepoint.vc for more information or email venture@triplepoint.co.uk and we'll gladly see if we can help.

